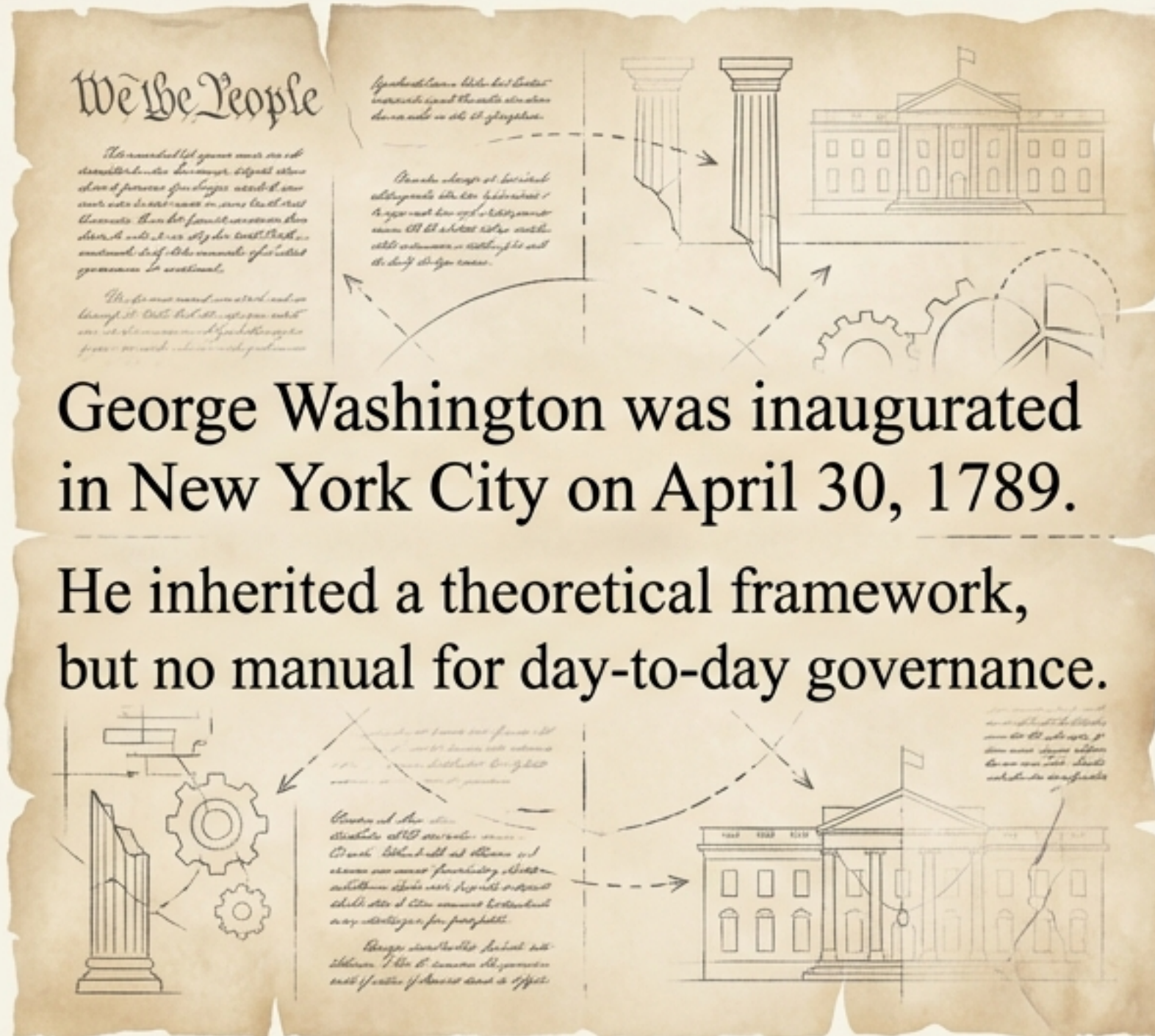




FORGING THE REPUBLIC

The Precedents, Frictions, and Blueprints that
Built the Early United States (1789–1825).

A Framework Without Instructions



George Washington was inaugurated in New York City on April 30, 1789.

He inherited a theoretical framework, but no manual for day-to-day governance.

There is scarcely any part of my conduct which may not hereafter be drawn into precedent.

— George Washington

Washington's two-term limit and leadership style set the operational precedents for the Early Republic era (1789–1825).

The 1789 Federal Architecture

The President's Cabinet

Secretary
of State
(Thomas
Jefferson)

Secretary
of the
Treasury
(Alexander
Hamilton)

Secretary
of War

Attorney
General

Postmaster
General

Judiciary Act of 1789

Supreme Court
(Chief Justice John Jay +
5 Associate Justices)

Circuit Courts

District Courts

The Crushing Weight of Revolution



Governments desperately needed cash to pay soldiers and buy supplies. They issued Bonds: certificates promising to repay the money loaned, plus interest, on a certain date.

Alexander Hamilton inherited a massive, fragmented pile of federal and state IOUs. To build a nation, he first had to build a functioning credit system.

Hamilton's Financial Blueprint

1.

Consolidate

The federal government assumes and buys up all old bonds issued by both national and state governments before 1789.

2.

Restructure

Issue new federal bonds to pay off the old debts, backed by the faith of the new national government.

3.

Fund

Pass a 1789 import tariff (tax on foreign goods) to generate reliable government income to pay off the new bonds over time.

The Speculator's Profit Loop

The Sale



Desperate Revolutionary War Soldier sells a \$100 government bond for \$15 cash to a Speculator.

The Policy



Hamilton's plan passes, guaranteeing full repayment of all old bonds.

The Payout



Government pays the Speculator the full \$100 plus interest.

James Madison argued this system unfairly rewarded speculators with fortunes built on the desperation of veterans. Hamilton countered that honoring debts in full was the only way to earn the trust of future investors.

The Ideological Fault Line

	The Hamiltonian Vision (North)	The Madisonian Vision (South)
State Debts	Owed heavy debts from the Revolution	Debts mostly paid off by 1789
Debt Assumption	Strongly in favor	Bitterly opposed (refused to subsidize Northern debt)
View on Speculators	Crucial future investors	Undeserving profiteers
Economic Focus	Industry and Manufacturing	Agriculture and Farming
Tariffs	Demanded high protective tariffs	Opposed tariffs that made imports expensive

The Dinner Table Bargain of 1790

The North Gets:
Federal assumption
of state debts,
state debts, stabilizing
the northern economy
and centralizing
financial power.



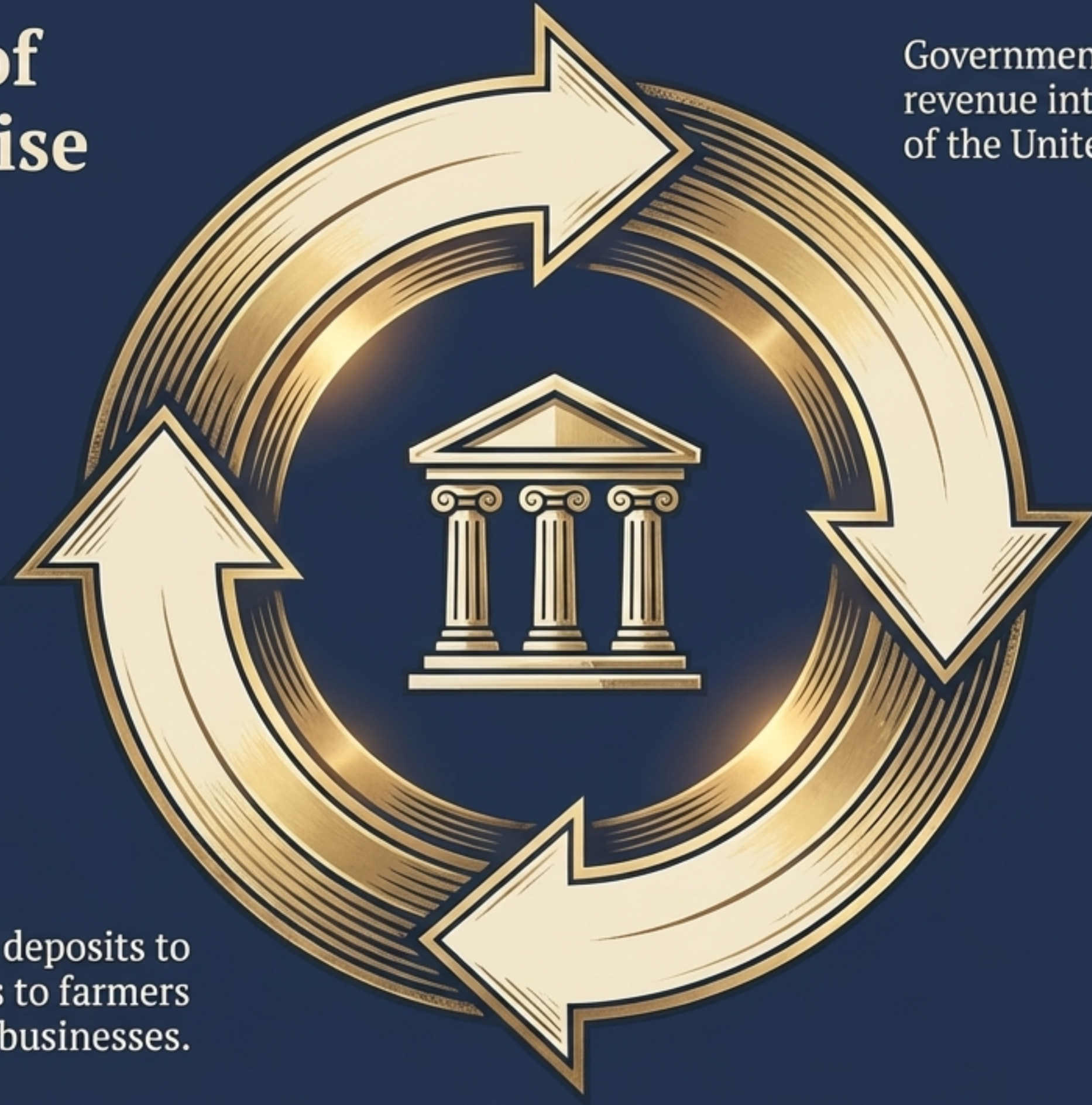
The South Gets:
The new national
capital relocated from
New York
(temporarily moved
to Philadelphia)
to the South.

The District of Columbia was carved from land given up by Virginia and Maryland along the Potomac River, with plans to be ready by 1800.

The Engine of Free Enterprise

Loans stimulate economic growth and a free-enterprise system, generating more taxable wealth.

Bank utilizes deposits to make loans to farmers and businesses.

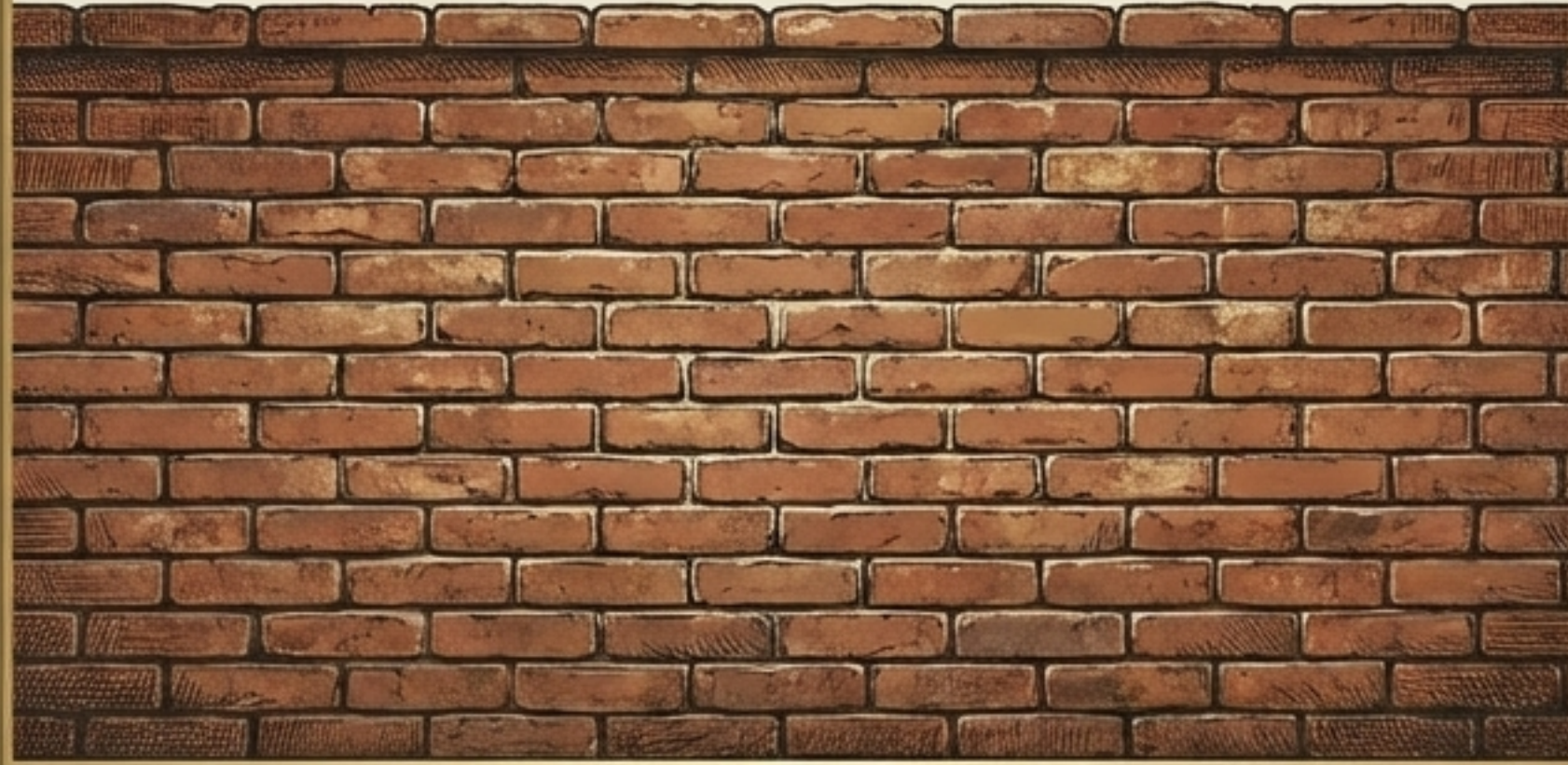


Government deposits tax revenue into the First Bank of the United States (1791).

Bank issues reliable paper money to pay government bills.

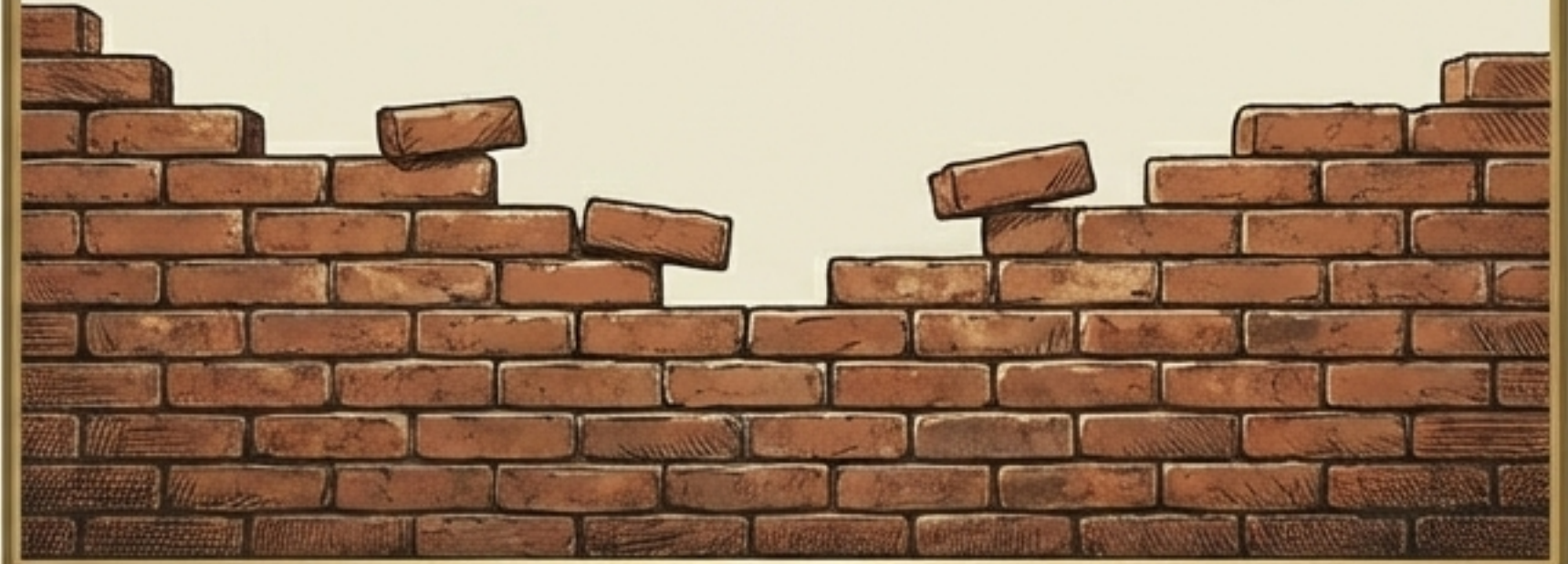
The Tariff Friction

Hamilton's Ask



A high protective tariff to make foreign imports highly expensive, shielding young Northern factories from foreign competition.

The Reality



Southern farmers, reliant on imported goods, fought back. Congress passed a much lower tariff than manufacturers wanted.

The Economic Result:

While it failed as a total protective shield, the lower tariff succeeded in its primary goal: generating the steady taxation required to pay off lenders and finance the government.

The Architecture of the Early Republic

